



HORMUZ CHOKEPOINT: SECURING INDIA'S ENERGY, STABILITY & GROWTH

POLICY BRIEF FOR THE GOVERNMENT OF INDIA | AUGUST 2026

The Strait of Hormuz is the world's most critical energy corridor. Any disruption here becomes a shock felt everywhere—first in oil, then in prices, growth and stability.

THE WORLD'S ENERGY ARTERY



INDIA'S EXPOSURE

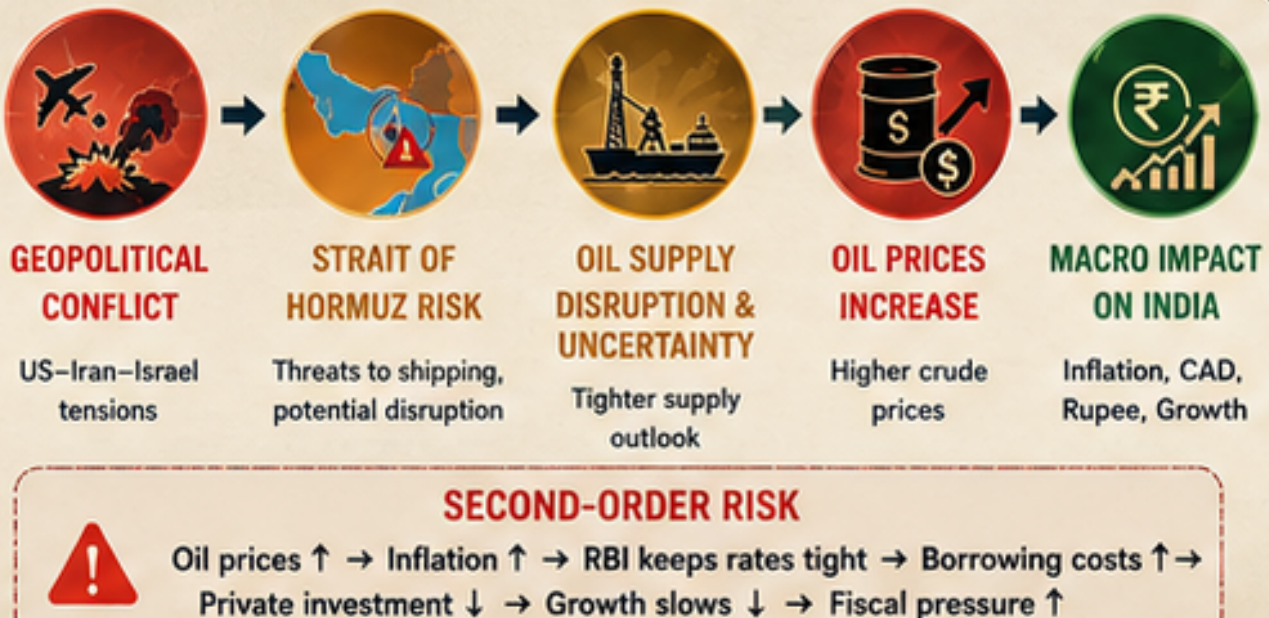
- >90%** of oil needs met through imports
- ~70%** crude comes from outside Hormuz
- ~2.5%** Current Account Deficit (FY26 est.)
- 50.83%** Russia's share in India's crude imports (Jul 2026)

- ~20-30%** of global oil & gas trade passes through Hormuz
- ~70%** of crude now comes from outside the region
- 90%+** India's crude import dependence
- ~30%** of India's crude imports pass through Hormuz

1. WHAT'S HAPPENING?

- US-Iran-Israel conflict continues with fragile ceasefires and renewed escalations.
- Shipping through the Strait of Hormuz remains below normal amid tensions and threats.
- ~20-30% of global oil & gas trade passes through Hormuz.
- Markets price in uncertainty, crude oil prices stay elevated.

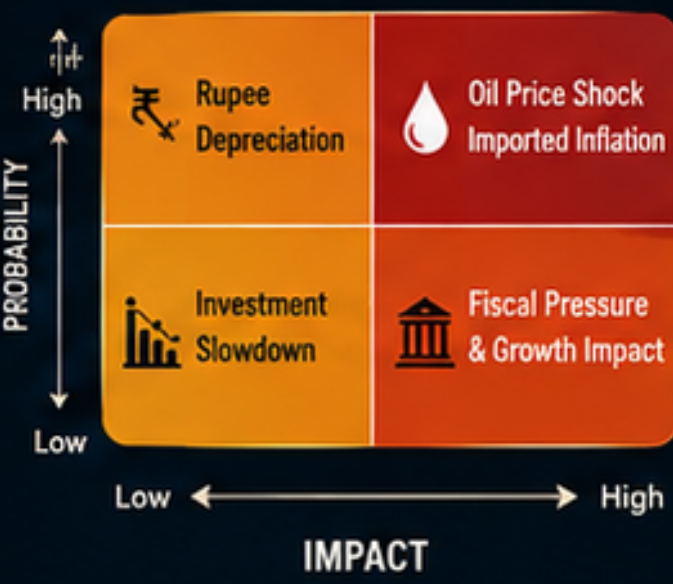
2. TRANSMISSION CHANNELS: HOW THE SHOCK TRAVELS



3. MACRO IMPACT DASHBOARD: INDIA

INFLATION Higher fuel & logistics costs push prices up	CURRENT ACCOUNT DEFICIT Higher oil import bill widens trade deficit	RUPEE (INR) More USD demand weakens INR	MARKET VOLATILITY Risk-off flows, FPI outflows, stock market volatility
GROWTH IMPACT Higher costs → lower investment → weaker consumption → GDP growth ↓			

RISK HEAT MAP



4. OIL PRICE SCENARIO OUTLOOK (Brent, USD/bbl)

BEST CASE (Disruptions Limited) 60-70 Flows stable, prices moderated, inflation contained, growth continues	BASE CASE (Tensions Persist) 85-95 Prices elevated, INR under pressure, inflation above target, growth moderates	WORST CASE (Severe Disruption) 110+ Oil shock, inflation spike, policy constraints, growth at risk
Prices react more to uncertainty than actual supply loss.		

5. POLICY ROADMAP: 3 HORIZONS, 7 PRIORITY ACTIONS

IMMEDIATE (0-3 MONTHS) - Deploy strategic petroleum reserves - Monitor inflation & ensure liquidity - Diversify spot imports & secure shipments - Stabilize fuel supply & logistics - Strengthen market intelligence	SHORT TERM (3-12 MONTHS) - Diversify import sources & routes - Expand storage & refining capacity - Promote energy efficiency in transport & industry - Deepen trade partnerships - Coordinate with OMCs for calibrated releases	STRUCTURAL (1-5 YEARS) - Accelerate renewable energy transition - Reduce fossil fuel dependence - Build domestic energy security ecosystem - Invest in green infrastructure - Enhance domestic exploration & E&P
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6. POLICY TRADE-OFFS: BALANCING PRIORITIES

POLICY OPTION	UPSIDE	POTENTIAL TRADE-OFF
Fuel Subsidy Expansion	Keeps inflation & fuel prices low	Higher fiscal burden, crowding out spending
Interest Rate Hike	Controls inflation, stabilizes rupee	Slower growth, higher borrowing costs
Build Oil Reserves	Improves energy security & resilience	High storage & opportunity cost



KEY TAKEAWAY

India cannot control the conflict, but it can **control its vulnerability**.



DIVERSIFY

Broaden supply sources to reduce dependence on any one region.



BUFFER

Maintain reserves to absorb supply shocks and market panic.



STABILIZE

Keep inflation & rupee in check with calibrated policy actions.



PROTECT

Shield vulnerable households while safeguarding fiscal stability.



TRANSITION

Accelerate clean energy for long-term energy independence.

“

Resilience today is Stability tomorrow.

